

stuff that would never cross my mind as a serious investment or even a sound speculation (except for a few professionals who know the game). The sellers, gentlemen all, have politely complied.

The idea, though, that the public is entirely to blame for its attitude does not wash. These are not people who choose to go to a casino because they foolishly believe in luck. The bear market may give them what they deserve for not having taught themselves something about investing before attempting it, perhaps, but in another sense, they have justifiably relied upon people they have been told are experts, the media's pick-stocks-and-forget-market-trends financial heroes, who have told them that the stock market is perfectly safe, that anyone *not* invested in stocks is a fool. Those people are more to blame for the public's attitude than the public itself.

Regardless of who is responsible, the public will be in a fury when the house of cards falls. To amateurs, an uptrend is *normal* and a downtrend is an outrage, so they will not tolerate losses calmly. Evidence of the coming rage have been hinted in two articles recently. *USA Today*, on June 16, 1994, headlined, "Mutual Fund Losses Anger Novice Investors." The Investors Arbitration Service, which usually handles 200 calls a week from irate investors, saw calls shoot up to 1,600 at the April 1994 low following an insignificant 9% pullback in the market *from an all-time high*. Investors are quoted as saying, "I've lost five, ten percent of my principal. What are my rights?" To paraphrase Granville, the *market* doesn't care about your rights! Once you are in the market, you have but one right: *to sell*. *The Wall Street Journal* further reports that with the virtually unnoticeable losses in stock and bond funds of 1.7% and 3.7% respectively for 1994, "many investors are furious." One letter to a mutual fund family demanded that it not just fire its managers, but "take them outside and shoot 'em." When a single-digit pullback from a record high *angers* someone, that someone is a complete novice who has no concept of where his money is. Now that the market has reached this far down the pyramid of market sophistication, it has few depths left to plumb.

In 1994, *USA Today* reported some investors' perturbation that they had lost a percent or two of their money, but took the step of assuring readers that there were only four reasonable courses of action: (1) Do nothing, (2) keep buying, (3) diversify into more funds, including foreign funds, and (4) adjust your asset allocation. Out of four options, not one was "get out of stocks." The professionals and media commentators who have been catering to the public's whims, thus assuring that they will continue to have no idea what they are